

The complaint

B, a limited company, complains that FORT ADVICE BUREAU LIMITED (“Fort Advice”) has provided inaccurate information and poor advice in relation to a property owners policy which has led to a reduced claim.

Mr A has brought this complaint on behalf of B, so I’ll largely refer to him. And any reference to Mr A or Fort Advice includes respective agents or representatives.

What happened

The background of this complaint is well known between the parties, so I’ll just provide a summary of events within this decision.

- In August 2024 Mr A took out a property owners policy for B (underwritten by Company U) with Fort Advice acting as an independent intermediary. This covered an unoccupied property undergoing building works, with a rebuild value set at £125,000.
- Following a claim related to an escape of water in the same policy year, Company U told Mr A he was underinsured in relation to his property’s rebuild value. It said his cover should’ve been set to £229,000. It reduced B’s claim by 45.4% taking into account the amount it was underinsured by. Mr A has said the claim was for £12,690 and B received only 54.6% of this.
- Mr A complained to both Company U and Fort Advice. He said he’d been misadvised and no duty of care had been shown to him – leading to his reduced settlement.
- On 8 August 2025 Fort Advice provided its final response letter which said the rebuild value of £125,000 was agreed between it and Company U, and had been based on a figure already agreed with Mr A and its agent (“Mr P”). It also said this sum was agreed with Mr A without change when he made payment.

Fort Advice also said the sum insured was correct at the time the policy was inception. And Mr A’s extensive refurbishment works had enhanced the property’s rebuild value but he hadn’t disclosed to Company U when he should’ve done.

- Mr A disagreed, saying Company U was fully aware of the renovation, and he said it was absurd to suggest the reinstatement value had increased from £125,000 to £229,000 as a result of the works carried out, and within such a short space of time.
- Company U denied responsibility for the rebuild value and said this was the responsibility of one of Fort Advice’s agents.
- The complaints were brought to this Service. The complaint against Company U was looked into this Service separately and not upheld and has since closed.
- Our investigator looked into the complaint against Fort Advice and upheld it, saying during a call between Mr P and Company U to arrange the policy, Mr P had accepted liability for the information and answers he was providing. And when Mr P was asked about the rebuild value, he answered he didn’t know but said the value the house had been purchased for - £125,000. The investigator said Mr P should’ve sought

clarity on this if he wasn't sure or confirmed this with Mr A. And while there was a responsibility on Mr A to check information given was correct, there was no reason for him to doubt the information provided by his broker.

- So, she directed Fort Advice to pay the difference between the claims full value and the reduced settlement provided by Company U.
- Fort Advice disagreed, saying it wanted to draw attention to parts of the call between Mr P and Company U. It said while Mr P did not have all the information to hand, Company U said it would confirm the details with Mr A prior to the policy going live. And it said Mr A had advised he had only given Mr P limited information.

It also said at the time of the quote and the inception of the policy, the level of cover would've been sufficient. And it reiterated that the issue was created by B's improvement works to the property enhancing the value of the property and then not disclosing this increased value to Company U.

This didn't change the investigator's mind, so the matter has been passed to me for an Ombudsman's final decision.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Having done so, I'm upholding this complaint. I'll explain why.

Before doing so, I will just reiterate this complaint concerns the actions of Fort Advice acting as an independent intermediary and not Company U.

As a starting point, I've got to consider what responsibilities Fort Advice had when selling this policy. Within its submissions, Fort Advice provided a demands and needs document and its confirmation letter refers to Fort Advice making a recommendation for B that met these needs.

So, on this basis, I'm satisfied this was an advised/recommended sale. This means it was required to ensure the policy it sold was suitable for B's needs. And alongside this, it needed to provide B with clear, fair and not misleading information to allow it to make an informed choice about the cover it was taking.

Within an advised sale, usually I'd expect to see to the seller gathering information from the policyholder that is required by the insurer to arrange the policy and providing guidance on how the policyholder should answer the questions where relevant.

Fort Advice has given us a copy of its fact find document – this lists both the rebuild value and buildings cover amount as £125,000. And under demands and needs it lists "*Currently no demands and needs*". So, it's unclear to me what conversations took place regarding the demands and needs specifically as these don't appear captured if they were discussed.

I've reviewed the statement of fact and this states the property would be unoccupied for 3 months and the contract works value for renovations were £8,000. Fort Advice's confirmation letter to Mr A stated this policy was arranged for an unoccupied property undergoing building works.

So, it is clear to me that Fort Advice was aware the policy was undergoing works, and the very policy it arranged was designed to provide cover for an unoccupied property being renovated. This reiterates the rebuild value of £125,000.

Fort Advice has made reference to a figure of £125,000 being agreed between Mr A and Mr P initially. Calculating a rebuild value isn't something I would imagine most policyholders would be able to accurately calculate without support. And there are different recognised methods to obtain an answer. These include using recognised online build calculators, or reliance on a professional survey.

So, I would expect Fort Advice to provide support and information as to how Mr A would've gone about obtaining this sum given its significance for the contract of insurance it was arranging on B's behalf – and from what I've seen, it hasn't provided anything of the sort to suggest this was ever explained or considered.

I've then listened to phone calls that Fort Advice has provided. The first call is a conversation between Fort Advice and Company U.

Mr P starts by saying he's looking to arrange cover for a limited company (B) for an unoccupied property. When asked about B's plans for the property – Mr P says this is to do some cosmetic refurbishment for around £8,000 and then re-sell it.

The Company U agent read some compliance notes and said if Mr P chose to manage the quotation himself, he would take on full responsibility for the advice but it would still need to confirm the information with the customer directly.

Mr P said he had the information available but said to call Mr A afterwards to confirm. So, on this basis I think Mr P clearly took responsibility for the information given.

Company U asked Mr P – what is the rebuild cost of the property. Mr P answered:

"I don't know, probably 125 grand. It's a small little thing."

The agent asked if that was the amount Mr A had bought the property for and Mr P confirmed this was the case. Fort Advice said Mr P was led by Company U at this point as the agent said:

"let's go with that figure because the rebuild cost is always less than the market value..."

I'm in agreement this statement isn't necessarily correct, and the rebuild value can be higher than the purchase price in some circumstances.

But not only did Fort Advice's agent initially mention that figure, it is a professional broker arranging the sale of insurance for B with an obligation to ensure the policy met B's needs. Mr P's response of *"I don't know"* then stating the purchase price doesn't suggest this was an informed answer based on a rebuild calculator, a surveyor's report or any other recognised method of calculating such a value. So, I think Fort Advice's argument here seems to overlook its own responsibilities, and I'm satisfied its behaviour was poor.

Fort Advice has made reference to a second call between Mr A and Company U. And it has argued that it is Company U that states the value of £125,000 to Mr A and he accepts this.

But Mr A is not the expert here, and as I've outlined, I haven't seen anything to show Fort Advice drew the significance of this rebuild value to Mr A's attention nor provided support or advice in how to obtain such a figure. So, I'm satisfied the responsibility of this rebuild figure falls to Fort Advice.

Fort Advice has since indicated that the figure of £125,000 was accurate for the time the

policy was taken out. And suggested the works carried out led to the underinsurance. But the only information I have regarding the works were gathered by Fort Advice, indicating these were cosmetic and to the sum of around £8,000. And I've been given nothing from Fort Advice that suggests the works were in excess of this, or substantial to the degree that meant the rebuild value increased by a sum of over £100,000.

Furthermore, if Fort Advice believed the rebuild value of the property would increase following the works (within a few months), it would seem the figure it put forward at the point of inception would have been inevitably too low.

Overall, based on the evidence available I'm satisfied that Fort Advice failed to make a suitable recommendation to B, and that it failed to provide it with clear, fair and not misleading information about the rebuild value to allow it to make an informed decision about going ahead with the Company U policy.

As a result, it follows I'm persuaded that Fort Advice is responsible for the underinsurance and resulting reduced claim. And I'm directing it to pay the difference between the full value of the claim and the sum that Company U has already paid. Mr A may need to provide evidence to Fort Advice to show the exact figures if Fort Advice doesn't have this already.

My final decision

I uphold this complaint. I direct FORT ADVICE BUREAU LIMITED to:

- pay the difference between the full value of the escape of water claim and the sum that Company U has already paid
- it should pay 8% simple interest per year on this sum from the date Company U provided its cash settlement and the date of settlement.

Under the rules of the Financial Ombudsman Service, I'm required to ask B to accept or reject my decision before 21 April 2026.

Jack Baldry
Ombudsman